

# CRYPTOCURRENCY PORTFOLIO ANALYSIS

CodeAlpha Finance & Investment Analysis Internship — Task 2

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## 1. Objective

This report analyzes Bitcoin (BTC), Ethereum (ETH) and Solana (SOL) over an approximately 12-month period. It reviews reference-price performance, major risk factors, recent market conditions and the implications of including the three assets in a hypothetical portfolio. This is an academic exercise and is not personalized investment advice.

## 2. Methodology

Historical observations are taken from publicly available market-history sources. Cryptocurrency markets trade continuously, so the dates and reference observations are stated explicitly. Approximate return is calculated as:  $(\text{latest reference price} - \text{starting reference price}) \div \text{starting reference price} \times 100$ .

| Asset          | Starting reference          | Latest reference           | Approx. change | Risk      |
|----------------|-----------------------------|----------------------------|----------------|-----------|
| Bitcoin (BTC)  | \$118,409.80<br>14 Aug 2025 | \$62,847<br>14 Aug 2026    | -46.9%         | High      |
| Ethereum (ETH) | \$4,548.17<br>14 Aug 2025   | ≈\$1,895<br>13 Aug 2026    | -58.3%         | Very High |
| Solana (SOL)   | \$192.59<br>14 Aug 2025     | \$77.53<br>20/21 Jul 2026* | ≈-59.7%        | Very High |

## 3. Performance Analysis

**Bitcoin:** BTC declined from approximately \$118,409.80 on 14 August 2025 to approximately \$62,847 on 14 August 2026, a fall of about 46.9%. Bitcoin is the most established of the three assets, but its market remains highly sensitive to liquidity, investor sentiment, regulation and institutional flows.

**Ethereum:** ETH declined from approximately \$4,548.17 on 14 August 2025 to about \$1,895 on 13 August 2026, a fall of about 58.3%. Its performance is influenced by network activity, decentralized applications, staking, regulation and overall crypto-market sentiment.

**Solana:** SOL declined from approximately \$192.59 on 14 August 2025 to about \$77.53 in the latest July 2026 reference snapshot, a decline of roughly 59.7%. Solana offers exposure to a growing blockchain ecosystem but has higher volatility and technology/ecosystem risk.

## 4. Risk Analysis

| Risk factor               | BTC    | ETH       | SOL       |
|---------------------------|--------|-----------|-----------|
| Price volatility          | High   | Very High | Very High |
| Liquidity/market risk     | High   | High      | Very High |
| Regulatory risk           | High   | High      | High      |
| Technology/ecosystem risk | Medium | High      | Very High |
| Diversification potential | High   | High      | High      |

## 5. Recent Market Considerations

Recent crypto-market conditions have been characterized by substantial volatility. Bitcoin has faced pressure from liquidity conditions and changing institutional flows, while Ethereum and Solana have remained highly sensitive to broader risk appetite. These conditions demonstrate that historical performance alone cannot be used to predict future returns.

## 6. Key Insights

- All three selected cryptocurrencies showed negative performance across the reference period used in this report.
- Bitcoin recorded the smallest approximate decline among the three assets.
- Ethereum and Solana showed larger declines, illustrating their higher sensitivity to crypto-market conditions.
- Diversification across crypto assets can reduce concentration in a single token, but it does not remove the high overall risk of the asset class.
- Investors should consider volatility, liquidity, regulation, technology risk and investment horizon together.

## 7. Portfolio Implications

For an academic portfolio exercise, Bitcoin can be treated as the relatively more established crypto asset, while Ethereum and Solana provide exposure to different blockchain ecosystems. Because all three remain volatile, crypto should generally be considered a higher-risk component rather than the entire portfolio.

## 8. Conclusion and Recommendation

The analysis demonstrates that cryptocurrency investments can experience substantial price movements over a relatively short period. Among the selected assets, Bitcoin showed the smallest decline in the reference period, while Ethereum and Solana experienced larger declines. The results support the importance of diversification, position sizing and risk management.

For this internship project, the recommended academic approach is to keep cryptocurrency exposure limited within a diversified portfolio and monitor market, regulatory and technology developments. Any real-world investment decision should be based on individual suitability, financial goals, risk tolerance, taxes and current market conditions.

## 9. References

- Yahoo Finance historical market data for Ethereum and Solana.
  - ChartExchange historical Bitcoin data.
  - Economic Times and Barron's reporting on crypto-market conditions.
  - Investing.com historical cryptocurrency data.
- Data observations and dates are stated in the report.

\*Solana's latest reference observation uses the latest historical snapshot available in the source set rather than claiming a same-day 14 August 2026 close. This is stated explicitly to avoid presenting an unsupported figure as a current price.